

Aid, Remittances, and Agency

How small states navigated economic dependency in the twentieth century

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What we do in ninety minutes

One argument, two cases, and a piece of writing you begin in this room

5 min

A map you were probably not shown

Why somebody who works on Pacific islands is standing in a course on Europe.

35 min

The concepts

What dependency meant structurally. The two flows. MIRAB. Where the theory came from, and the case against it.

20 min

Two cases

Malta, which carries both flows at once. Tonga, the most remittance dependent economy on earth.

25 min

You write

The same five minutes of a lesson, told twice. I will show you mine first.

5 min

Why it is not settled

The argument you have just had is live in the literature right now.

A map you were probably not shown

Between 1884 and 1914 the German Empire ran an archipelago of Pacific colonies

German New Guinea

from 1884

Marshall Islands

from 1885

Nauru

from 1888

Carolines, Palau, Northern Marianas

bought from a defeated Spain
in 1899 for 17 million pesetas

German Samoa

1900 to 1914

Germany's colonial reckoning has gone almost entirely to Namibia.

In 2021 the Federal Republic recognised the killing of the Herero and Nama as genocide and signed a joint declaration with Namibia, pledging about 1.1 billion euros over thirty years and explicitly declining to call it reparations. There is no Pacific equivalent, in policy or in public memory. Recent work argues colonial memory in Germany remains structurally underrepresented beside Holocaust and East German memory, and a scholarly roundtable on German Pacific collecting and repatriation appeared in 2024 precisely because specialists had noticed the silence.

Schaper and Lerp (2025), Layers of Memory, Journal of Modern European History. German (Post)Colonialism roundtable (2024), Atlantic Studies. Melber (2025), Germany's Colonial Memory Failure.



1

The concepts

Small states in the twentieth century lived on money they did not earn at home. Two bodies of scholarship read the same records and reach opposite conclusions about what that means.

What smallness does to an economy

Before any theory, the constraint itself

1 No scale

A domestic market too small to support production at volume, so almost nothing can be made economically for the people who live there.

2 One or two exports

National income becomes a hostage to a price set somewhere else, by people who will never visit.

3 No influence on that price

And no capacity to absorb a shock internally when it moves.

4 Therefore, flows from outside

Colonial transfers. Rent for strategic position. Foreign aid after 1945. And money sent home by the people who left.

None of this is a moral claim about small countries. It is a description of arithmetic.

Aid becomes a category

Money moved between states long before anyone called it development assistance

The dates that matter

- 1948, the Marshall Plan begins, and postwar transfer becomes programmatic rather than ad hoc
- 1961, the OECD Development Assistance Committee is created, and aid acquires rules, definitions and a ledger
- From then on, official development assistance is a thing a state can count, report and compare
- And what gets counted becomes what gets studied, then what gets argued about, then what gets taught

What historians should notice

The flow is older than its measurement. Colonial transfers, base rents and imperial subsidies were doing the same economic work for decades before 1961, and they sit in different archives under different names. So the series that economists use begins in the 1960s, and the history begins much earlier. When somebody shows you a chart of aid to a small state, ask what it is not showing you and where that material went instead.

The same is true of remittances. People have sent money home for as long as people have left. The balance of payments only learned to see it in the same postwar decades.

Your country is already in this story

West Germany was the destination end of Europe's largest remittance corridor

Italy 1955. Spain and Greece 1960. Turkey 1961. Morocco 1963. Portugal 1964. Tunisia 1965. Yugoslavia 1968. The foreign working population of the Federal Republic rose from about 279,000 in 1960 to 2.28 million by 1972.

Who wanted these agreements

Not only Germany. The sending states pushed for the recruitment contracts themselves, for two declared reasons: the transfer of wages home, which helped their balance of payments, and relief for their own labour markets.

That is a small or middling state using the export of its own people as economic policy, negotiated as a treaty. Hold on to it. You will see the identical move in Malta and in the Pacific.

How much money

2.1 billion marks

transferred home by Turkish workers in 1972, enough for Turkey to cover its entire trade deficit with the Federal Republic that year. Germany sold Turkey goods, and Turkey paid for them with the wages of the people Germany had recruited.

One instrument, three eras

Malta, West Germany's partners, and the Pacific are doing the same thing



Sources: Maltese Emigration Department figures via Springer, Diaspora Policies and Social Protection for Maltese Citizens Abroad, 2020; Briguglio, The Maltese Economy since 1960. Historisches Lexikon Bayerns on the West German recruitment agreements. OECD DAC ODA Casebook 2023; scheme data 2025 to 2026.

In all three, the sending state is the one holding the pen.

Malta paid part of the fare. Greece, Portugal, Turkey and Yugoslavia pushed for the recruitment contracts. Tonga supplies a fifth of its working age men to schemes it did not design but actively feeds. Whether that is a country in control of its own position, or a country with no other option, is the question you will write about in an hour.

MIRAB, and the reading that follows from it

The framing that first put the two flows in one sentence

Bertram and Watters, 1985: migration, remittances, aid and bureaucracy. The claim is that in the smallest island economies these four are not features of the economy. They are the economy. People leave, money comes back, aid funds the state, and the state employs those who stayed.

Welfare colonialism

Paine, 1977, from the Canadian Arctic. A metropolitan power grants generous welfare, and the generosity is itself the problem, because material conditions improve while the capacity to provide for oneself withers. The concept travelled to Australian and North American Indigenous policy, and in Europe to Greenland and Denmark.

An economy of receipt

On this reading a MIRAB economy lives on what it receives rather than on what it produces, and the structure reproduces itself: the more reliable the flow, the weaker the reason to build an alternative.

The uncomfortable fact

Islands that stayed politically attached to a metropole do materially better on almost every measure of wellbeing than those that took sovereignty. That puts a price on independence, and it is the hardest thing in this seminar to teach honestly.

Where the idea came from

Dependency is a body of thought with dates, not a mood

1950

Prebisch and Singer

The terms of trade thesis. Commodity exporters face a secular decline against exporters of manufactures, so the periphery runs to stand still.

1966

Andre Gunder Frank

The development of underdevelopment. Not a prior condition but a product of the same process that developed the metropolises. The most deterministic version, and it leaves the periphery no agency at all.

1969

Cardoso and Faletto

Dependent development. Dependency is a situation rather than a fate, analysed case by case, and domestic coalitions can bargain inside it, which is why this is the version a historian can work with.

1973

Samir Amin

Peripheral capitalism. An economy oriented outward, toward somebody else's demand, rather than toward its own population.

Then it fell: East Asian industrialisation falsified the strong version, the debt crisis of the 1980s discredited the policy programme, and postcolonial critics objected to a metanarrative treating the periphery as one bloc. Kvangraven (2021) argues the caricature the critics attacked was never the whole tradition, and it has been revived across the 2020s.

The case against all of that

Small states were not passive recipients. They negotiated, they exported labour deliberately, and they used both flows as instruments.

Katzenstein, 1985

On the European small states. Exposure to volatile world markets did not produce helplessness, it produced democratic corporatism, centralised bargaining and institutional flexibility. Vulnerability was the cause of the institutions, not their opposite. His own later image: small states cannot soar like eagles, but they always land on their feet.

Annette Baker Fox, 1959

On the wartime neutrals. Sweden, Switzerland, Turkey and Spain preserved room for manoeuvre between the great powers through active diplomacy rather than passive shelter. Written in 1959, and still the cleanest demonstration that weakness and helplessness are different things.

Baldacchino, 2006

Two ideal type strategies for small island territories, and the wider argument that declining to take full sovereignty can be a strategy rather than a failure.

Thorhallsson, shelter theory

Small states actively seek political, economic and societal shelter. Choosing a protector is an exercise of agency, not a surrender of it.

The problem

**Two competent literatures, reading the same kinds of records,
reaching opposite conclusions.**

This is a disagreement about what the evidence is for, rather than a gap that more archive work will close, which means somebody has to choose, and in a few years that somebody is you, standing in front of a class.



2

Two cases

Malta carries both flows at once, and it is a European small state. Tonga is the most remittance dependent economy in the world, and it was never annexed by anybody.

Malta, part one: selling a position

An economy that existed because of somebody else's strategy

15%

of gross domestic product came from British military establishments in the early 1960s

1964

independence, negotiated together with a financial and defence agreement guaranteeing British aid and defence spending for ten years

1972

Mintoff renegotiates for a substantially higher payment, spread across NATO allies, using the credible possibility of Libyan and Warsaw Pact alternatives as leverage

1979

the British leave on 31 March, still marked as Freedom Day, and the base share of the economy goes to zero

Formal sovereignty and continued subsidy were negotiated in the same room, on the same day.

American diplomatic cables from the early 1970s record Mintoff's manoeuvring in detail, including his parallel approaches to Libya. They are declassified, they are online, and they are excellent primary source material for a class.

Malta, part two: selling a departure

At the same time, the state was organising and paying for its own people to leave

140,000+

Maltese emigrated between 1946 and the late 1970s under an assisted passage scheme run by Malta's own Emigration Department, which met part of the cost of leaving. Roughly 58 per cent went to Australia, 22 to the United Kingdom, 13 to Canada and 7 to the United States.

30%

of the population left between 1948 and 1967. For a country of roughly three hundred thousand people, that is migration run as a state programme with a budget line rather than migration as a social fact.

“Emigration was singled out as a tool of policy.”

Briguglio, writing on the difficult years of 1960 to 1964. And the money came back: foreign transfers into Malta, including remittances and pensions, rose from about 4.2 million Maltese lira in 1960 to 1964 to about 28.8 million in 1980 to 1984, offsetting a chronic trade deficit. Meanwhile manufacturing went from about 17 per cent of gross domestic product in the early 1960s to roughly a third by the late 1970s. The restructuring was deliberate, and it was timed against the base rundown.

Briguglio, The Maltese Economy since 1960, University of Malta open repository. Emigration figures via Springer, Diaspora Policies and Social Protection for Maltese Citizens Abroad, 2020.

Tonga, part one: the country nobody annexed

The only Pacific island nation never taken by a European power

1875

King George Tupou I promulgates a constitution making land inalienable to foreigners. Every other territory in the region was taken through land: a company buys, settlers follow, a protectorate is declared to protect them. Tonga closed that door before anyone reached it.

1900

A Treaty of Friendship makes Tonga a British protected state. Britain takes foreign relations. Tonga keeps the monarchy, the government and the land. Britain gets a strategic footprint in the South Pacific and pays nothing for it.

1970

Full independence, on Tonga's own timetable, without a war of independence and without a decolonisation commission.

Tonga, part two: the corridor

A century later, the same move in a different currency

41%

of gross domestic product arrives as remittances. The highest share of any economy in the world, on the World Bank's 2024 figures. More Tongans live abroad than at home.

1 in 5

working age Tongan men are in the New Zealand or Australian seasonal work schemes. The corridor is not an accident of the market. Two donor governments designed it.

And it does not sit tidily in either category.

The OECD rules these schemes only partly eligible as development assistance. New Zealand's scheme is run by its immigration service and its operating costs are not aid at all, because its first purpose is filling New Zealand labour shortages. Only the worker training programme attached to it counts. The OECD is explicit that generating remittances is not by itself enough to make a programme aid. So a policy that manufactures a very large private flow can be almost invisible in the aid statistics of the country that designed it.

And historians cannot agree whether it was colonised

Two peer reviewed articles, three years apart, on the same country

Bade, 2021

History Australia

The constitutional monarchy preserved Tongan independence through the colonial era. The 1875 constitution and the 1900 treaty are read as instruments: Tonga saw what was coming, built a legal defence, and chose a protector on terms that kept the substance of sovereignty.

Tecun and Siu'ulua, 2024

Postcolonial Studies

The never colonised narrative is itself an ideological simplification. Formal non annexation coexisted with real coloniality: missionisation, an unequal treaty relationship, and a gendered transformation of Tongan society that no absence of a flag prevented.

Question for the room: what evidence would settle this? Take a minute on it before you answer.



3

Now you write

The same five minutes of a lesson, told twice. I will show you mine on Tonga first, both versions, and then you do your own.

The task

A historian's task, not a policy brief

1

Write five minutes of a lesson, framed as vulnerability

Pick one small state. Write what you would actually say to a class of fifteen year olds, as a story about what was done to that country.

2

Write the same five minutes, framed as agency

Same country, same facts, same period, told as a story about what that country did.

3

Reflect, half a page

What does each version teach a pupil to believe? Be specific. Name one thing that changes, not the general observation that perspective matters.

The rule that makes it hard: both versions must be historically defensible from the same evidence. Winning the second version by inventing facts is a fail.

My version, one: Tonga as vulnerability

Read aloud. Time it. This is roughly what five minutes sounds like.

Tonga is a country of about 104,000 people scattered across an archipelago in the South Pacific. It has almost no land, no minerals, and a domestic market far too small to make anything at scale. In the twentieth century it could not build an economy from what it had, so it exported the only thing it had in quantity. Its people.

Today more Tongans live abroad than at home. Remittances are about 41 per cent of national income, the highest share of any country on earth. Aid supplies a fifth again on top of that. Almost half the country's external debt is owed to a single foreign creditor, and in the year to June 2025 Tonga paid that one creditor more in debt service than its entire annual infrastructure budget.

The villages that send the most workers are the ones with the fewest young men in them. The money arrives and the person does not. Tonga is assessed as being at high risk of debt distress, and because it is classified as upper middle income it does not qualify for the cheapest development finance, so it borrows on harder terms than poorer countries while sitting in a cyclone belt.

Taken together these describe an economy that cannot function without flows it does not control, decided in Wellington, Canberra and Beijing, and a population dispersed across four countries in order to keep it running.

My version, two: Tonga as agency

Same country. Same century. Same facts.

Tonga is the only Pacific island nation never annexed by a European power. That was not luck.

In 1875 King George Tupou I promulgated a constitution that made land inalienable to foreigners. Every other territory in the region was taken through land. A plantation company buys, a settler population follows, and a protectorate is declared to protect them. Tonga shut that door before anyone reached it. In 1900 it signed a Treaty of Friendship making it a British protected state, which handed Britain foreign relations and kept the monarchy, the government and the land. Britain got a strategic footprint. Tonga kept the country. It took full independence in 1970, on its own timetable.

The migration is the same manoeuvre a century later. Tongan families placed their members in New Zealand, Australia and the United States and built the corridors that now carry more income home, relative to the size of the economy, than any country in the world receives. When New Zealand and Australia opened seasonal work schemes, Tonga supplied one in five of its working age men and became one of the largest sending countries in the region.

Nobody handed Tonga those arrangements. Tonga negotiated the first, built the second, and is now the country other Pacific states study when they want to know how it was done.

What actually changed between those two

Not one fact. Look at the grammar.

	Vulnerability version	Agency version
Who is the subject of the sentence	Things happen to Tonga. Flows arrive, prices are set, ratings are assigned.	Tonga does things. It promulgates, signs, builds, supplies, negotiates.
Where the verbs come from	Passive and impersonal. Decided elsewhere, classified as, assessed at.	Active and attributed. A named king, a named year, a named decision.
What the numbers are for	Evidence of exposure. Forty one per cent is a measure of how much could go wrong.	Evidence of achievement. Forty one per cent is a measure of how well the corridor was built.
What the pupil concludes	That some countries are unlucky and need help.	That some countries are outmanoeuvred and some outmanoeuvre.

Every number in both versions is true and sourced. Nothing was added and nothing was hidden.

Pick a state

These are suggestions, not a list. Take anything you can find sources for, including one I have not thought of.

Selling a position

Malta

Base rent from Britain, then the 1979 closure

Cyprus

Britain kept sovereign territory after 1960, not a lease

Iceland

Keflavik as diplomatic capital, and three Cod Wars won

Selling a departure

Ireland

Emigration to Britain, and remittances, into the 1950s

Portugal

A recruitment agreement with West Germany in 1964

Greece

Agreement in 1960, and a diaspora that funded the balance of payments

Changing patron

Albania

Yugoslav, then Soviet, then Chinese, then isolation

Finland

War reparations to Moscow, then a managed relationship

Yugoslavia

Non alignment as a bargaining position between blocs

Autonomy without sovereignty

Greenland

The Danish block grant, home rule 1979, self government 2009

Faroe Islands

Home rule from 1948, and the same grant question

Aland

Autonomy settled by the League of Nations in 1921

Or a non European case, or a subnational jurisdiction, or somewhere your own family is from. Confirm your choice with Dr Schmitz if it is outside the course's period or region.

How it is marked, and one thing to expect

Most people find the second version harder to write, and that difficulty is what the reflection should address

Three criteria

- Both versions historically defensible from the same evidence base
- The reflection names something specific that the framing does to a pupil's understanding
- Sources named, in either version

Why this is a legitimate exercise

Wertsch's work on schematic narrative templates argues that collective memory runs on a small number of recurring story shapes, and that the template does much of the interpretive work before any evidence is examined.

I could not find a study testing vulnerability against agency framing as a variable in history teaching specifically. So what you are doing here is closer to a small piece of original enquiry than to a set exercise.

Expect the vulnerability version to write itself in eight minutes and the agency version to take you an hour. Notice that, and put it in your reflection. It is the most interesting thing this exercise will tell you about your own training.

Why this is not a settled question

The argument you have just had is live in the literature right now.

A systematic review of 201 studies on aid, remittances and wellbeing in small island states closed in August 2026. Its sharpest unresolved disagreement is the one you have been circling for ninety minutes: is dependence something imposed on small islands, or something they cultivate as a strategy? Serious scholars hold both positions on current evidence, exactly as historians do on the twentieth century record.

So when you choose a framing for your class, you are not simplifying a settled scholarly consensus for teenagers. You are taking a side in a live argument, on behalf of people who are not in the room.

References, one of two

Everything on the slides is drawn from these, or from the official statistics named on the slide itself.

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